Simulation Arena

Competitor Pricing: The Virtual War Room

Defensible niche earns the most profit: $12,283.99M over 8 quarters. Matching every cut earns $6,445.02M, $5,838.97M less than Defensible niche.

Seed 42 | Run run_596c6d1e0120 | 5,424 scenarios tested | Agent-based market simulation (virtual… | 21 Sep 2026, 21:03

Same seed, same numbers - this run can be reproduced exactly.

How this works

We built a virtual market out of your accounts. Each buyer has a budget, a price sensitivity and a supplier they use today. Every quarter the rivals set a price, you answer with one of three strategies, and each buyer picks a supplier - the cheapest offer usually wins, but habit, the hassle of switching and a priority-support promise all count. We then played all 2 years out 100 times for each strategy, so every number below is an average across 100 different versions of the future, with the likely range shown around it. We then ranked the three strategies on the measure you chose and re-ran the market at a range of rival undercuts to see how far the answer travels before it changes.

The numbers that matter

BEST CALL ON THESE NUMBERS
Defensible niche
It scores best on profit across 100 versions of the next 8 quarters.
vs $4,478.19M more than Hold the line

PROFIT IF YOU MATCH EVERY CUT
$6,445.02M
$5,838.97M less profit over 8 quarters than Defensible niche.
vs -19.9% price vs today, 92.8% of accounts served

PROFIT IF YOU DEFEND A NICHE
$12,283.99M
The best of the three on profit: $4,478.19M more than Hold the line.
vs -0.0% price vs today, 74.9% of accounts served

PROFIT IF YOU HOLD THE LINE
$7,805.80M
$4,478.19M less profit over 8 quarters than Defensible niche.
vs -0.0% price vs today, 40.0% of accounts served

TOP-TIER ACCOUNTS YOU KEEP
74.9%
Of the top accounts you serve today, this many are still yours at the end under the best call.
vs target 88.0%

ACCOUNTS LOST TO RIVALS
52,154
Accounts that walked to a competitor across 100 versions of the two years under the best call.
vs 21,931 if you match everything

BREAK-EVEN RIVAL UNDERCUT
none in 0-40%
Not found between 0% and 40% - the recommendation does not change anywhere in that range.

HOW FAR THE RIVAL CAN MOVE BEFORE THE ANSWER CHANGES
0%-40% undercut
Defensible niche stays the best call everywhere we tested, from 0% to 40% undercut. Only the rival's undercut is moved here; everything else stays as you set it.

How we got there

1. The market we built

We put 40,000 buyers in a room with you and two rivals. They are not all alike: the most profitable accounts barely react to price, while the cheapest ones chase it hard. Today you serve 100.0% of them.

Evidence: $28,764.90M of annual spend in play

2. What 'Match every cut' does

Answer every rival cut on every account, immediately. Over 8 quarters it leaves your average price -19.9% versus today, serves 92.8% of the accounts, keeps 92.8% of the top tier and banks $6,445.02M of profit - ranked 3 of 3 on profit.

Evidence: $6,445.02M of profit over 8 quarters

3. What 'Defensible niche' does

Hold list price, bundle priority support on the accounts worth keeping, and match only where the account commits multi-year. Over 8 quarters it leaves your average price -0.0% versus today, serves 74.9% of the accounts, keeps 74.9% of the top tier and banks $12,283.99M of profit - the best call on profit.

Evidence: $12,283.99M of profit over 8 quarters

4. What 'Hold the line' does

Do nothing. Keep list price everywhere and let the chips fall. Over 8 quarters it leaves your average price -0.0% versus today, serves 40.0% of the accounts, keeps 40.0% of the top tier and banks $7,805.80M of profit - ranked 2 of 3 on profit.

Evidence: $7,805.80M of profit over 8 quarters

5. The trade in plain numbers

Matching every cut wins +17.9 points of account share against the best call, and $5,838.97M less profit over 8 quarters. That is $325.94M of profit for every extra point of share.

Evidence: +17.9 points of share for $5,838.97M less

6. The bottom line

Do not match every cut. Defensible niche banks $12,283.99M of profit over 8 quarters, and matching every cut gives up $5,838.97M of it. Defend the accounts worth keeping and let the price-chasers go.

Evidence: $12,283.99M for Defensible niche vs $6,445.02M for matching

Charts

What happens to your price

Average across 100 versions of the future; the shaded pair is the likely range



What this shows: Each line is the average price you charge each quarter under one strategy. The band is the range of outcomes across the versions we played for the best call. A line that ends lower means more of a discount was given away.

What happens to profit

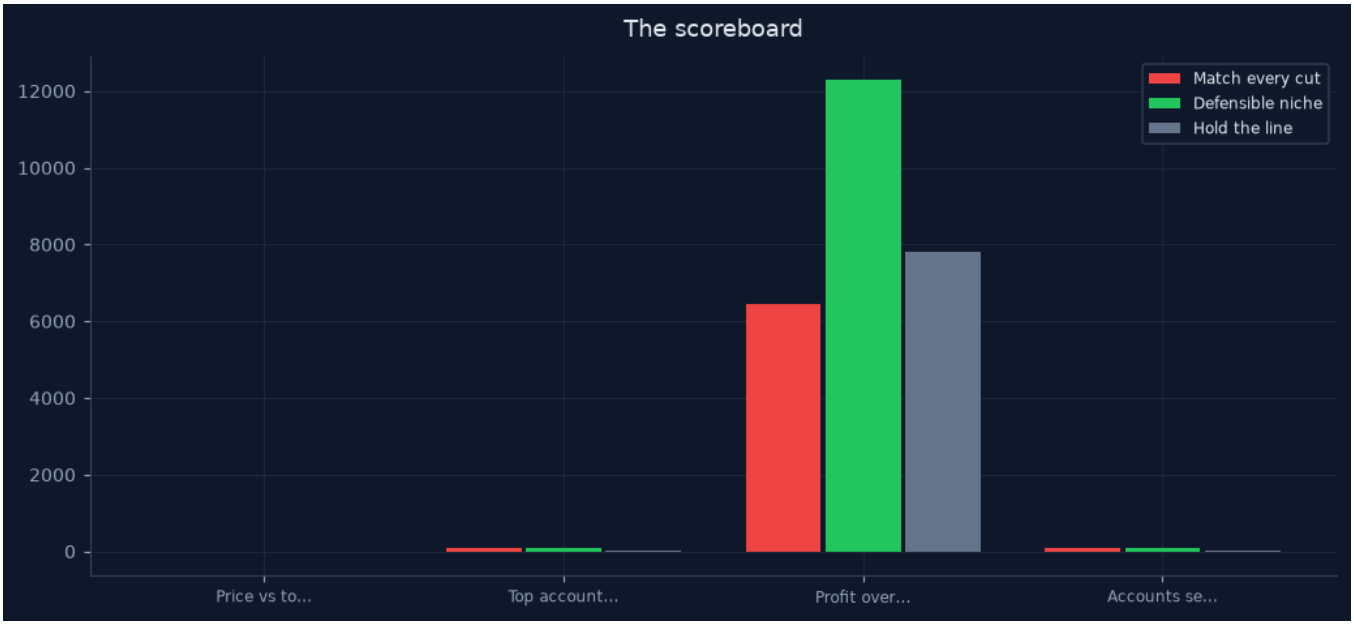
Profit per quarter, after the cost to serve and overheads



What this shows: Profit per quarter under each strategy. The line that ends highest is the one that earns the most; which line that is comes from the simulation, not from a rule of thumb.

The scoreboard

The three strategies side by side



What this shows: Four measures, three strategies, all on one axis so the bars can be compared within each group. Price is a change versus today, top accounts kept and accounts served are percentages, and profit over the whole period is in millions.

Tables

The three strategies compared

Every figure is an average of 100 simulated versions of the next 8 quarters. Ranked on profit.

Strategy	Price vs today	Revenue (2 yrs)	Profit (2 yrs)	Profit margin	Top-tier kept	Accounts served	Moves to a rival	Verdict
Match every cut	-19.9%	$44,688.07M	$6,445.02M	14.4%	92.8%	92.8%	21,931	Not recommended - $5,838.97M less profit over 8 quarters
Defensible niche	-0.0%	$45,883.61M	$12,283.99M	26.8%	74.9%	74.9%	52,154	Recommended

Strategy	Price vs today	Revenue (2 yrs)	Profit (2 yrs)	Profit margin	Top-tier kept	Accounts served	Moves to a rival	Verdict
Hold the line	-0.0%	$27,620.93M	$7,805.80M	28.3%	40.0%	40.0%	85,710	Not recommended - $4,478.19M less profit over 8 quarters

Row 2 is the best call on profit.

What happens to each tier under the best call (Defensible niche)

Where you defend, where you let go, and what each tier earns you.

Tier	Accounts	Yours today	Yours after 2 yrs	Kept (of yours today)	Won from rivals	Revenue (2 yrs)	Profit (2 yrs)	Support cost per account	Call
Tier-2	40000	40,000	29,973	75%	0	$43,108.88M	$11,551.26M	$0	Let go

Profit is after the cost to serve that account.

Quarter by quarter - best call (Defensible niche)

Your price, the rival's price, and what that earns.

Quarter	Your price	Rival price	Accounts served	Revenue	Profit
Q1	$100,000	$94,000	92.1%	$6,625.00M	$1,773.79M
Q2	$100,000	$91,000	85.5%	$6,148.79M	$1,646.08M
Q3	$100,000	$89,500	80.7%	$5,800.12M	$1,552.88M
Q4	$100,000	$88,750	77.9%	$5,601.81M	$1,499.71M
Q5	$100,000	$88,375	76.3%	$5,489.05M	$1,469.50M
Q6	$100,000	$88,187	75.5%	$5,430.99M	$1,453.92M
Q7	$100,000	$88,094	75.1%	$5,399.25M	$1,445.46M
Q8	$100,000	$88,047	74.9%	$5,388.61M	$1,442.66M

How far the rival's undercut can move before the answer changes

A one-factor test: only the rival's undercut moves, 6 versions of the future at each point. The row for today's undercut is highlighted.

Rival undercut	Match every cut	Defensible niche	Hold the line	Best call	Still the recommendation?
0%	$15,123.85M	$15,147.06M	$15,119.46M	Defensible niche	Yes
2%	$12,762.33M	$15,010.59M	$14,551.39M	Defensible niche	Yes
4%	$10,505.32M	$14,794.99M	$13,731.28M	Defensible niche	Yes
6%	$8,580.65M	$14,465.23M	$12,615.39M	Defensible niche	Yes
8%	$7,487.99M	$13,979.25M	$11,203.41M	Defensible niche	Yes
10%	$6,840.65M	$13,263.63M	$9,548.02M	Defensible niche	Yes
12%	$6,445.42M	$12,280.23M	$7,814.78M	Defensible niche	Yes
14%	$6,132.34M	$11,023.53M	$6,144.49M	Defensible niche	Yes
16%	$6,001.43M	$9,523.34M	$4,699.81M	Defensible niche	Yes
18%	$5,866.61M	$7,932.77M	$3,527.08M	Defensible niche	Yes
20%	$5,734.00M	$6,608.44M	$2,617.85M	Defensible niche	Yes
22%	$5,733.62M	$6,612.46M	$2,622.73M	Defensible niche	Yes
24%	$5,729.74M	$6,612.12M	$2,624.12M	Defensible niche	Yes
26%	$5,735.38M	$6,619.31M	$2,627.41M	Defensible niche	Yes
28%	$5,736.63M	$6,608.09M	$2,631.50M	Defensible niche	Yes
30%	$5,734.50M	$6,612.44M	$2,633.91M	Defensible niche	Yes
32%	$5,731.90M	$6,611.92M	$2,628.01M	Defensible niche	Yes

Rival undercut	Match every cut	Defensible niche	Hold the line	Best call	Still the recommendation?
34%	$5,734.65M	$6,617.34M	$2,623.71M	Defensible niche	Yes
36%	$5,732.18M	$6,614.20M	$2,632.16M	Defensible niche	Yes
38%	$5,733.11M	$6,610.15M	$2,624.88M	Defensible niche	Yes
40%	$5,730.90M	$6,613.43M	$2,622.66M	Defensible niche	Yes

Not found between 0% and 40% - the recommendation does not change anywhere in that range.

What we recommend

Do not authorise blanket price matching. Match only where the account commits multi-year, and bundle priority support instead.

Risk Low 45 out of 100 | Confidence: High

Why

• Defensible niche scores best on profit: $12,283.99M over 8 quarters, against $6,445.02M for matching every cut.

• Matching every cut leaves your average price -19.9% versus today and serves 92.8% of the accounts; Defensible niche serves 74.9% at -0.0%.

• Not found between 0% and 40% - the recommendation does not change anywhere in that range.

What to do

1. Decline blanket price matching. Tell sales the answer is no by default.

2. Authorise a matched price only where the account signs a multi-year commitment and the deal still clears 12.0% margin.

3. Bundle priority support on the top two tiers instead of cutting price.

4. Let the cheapest, most price-sensitive accounts go, and redeploy the support cost that frees up.

5. Re-check monthly: the answer held everywhere from 0% to 40% undercut.

The trade-off: You are choosing $12,283.99M of profit with Defensible niche over $6,445.02M with matching every cut - a difference of $5,838.97M.

What we assumed and what to watch

Worth knowing before you act

• Top-tier retention comes out at 74.9% under the best call, below your 88.0% target. Consider extending priority support or a deeper multi-year offer to that tier.

• We could not see an obvious 'Us' in your supplier column, so we assumed 'Competitor A' is you.

Assumptions

• 40,000 accounts from your file; each buyer keeps buying the same volume each quarter.

• List price $100,000 per unit; margin 28.3% on average, so cost is 71.7% of list.

• Rivals undercut your previous average price by 12.0% and close 50% of the gap each quarter, down to a floor of 20.0% off list.

• Buyers weigh price about ten times more heavily than habit; a 6.0% priority-support promise counts like a discount of half that size, and costs 1.5% of margin.

• 40% of top-tier accounts are willing to commit multi-year (60% of that rate in the mid tier).

• Overheads of $5.00M a year are charged against profit.

- The recommendation maximises profit; change it and the answer may change with it.
- Robustness check: the rival's undercut alone moves, from 0% to 40% in 2-point steps, with 6 versions of the future at each point. Every other assumption is held where it is today.
- 100 independent versions of 8 quarters per strategy; seed 42 (re-running gives identical numbers).
- Columns read from your file: Account / customer ID, Annual spend with you, Margin on the account (%).
- Account / customer ID -> your 'account_id' column
- Account tier / segment -> not in your file; not used
- Annual spend with you -> your 'annual_recurring_revenue' column
- Price sensitivity (0-1) -> not in your file; not used
- Who supplies them today -> not in your file; not used
- Margin on the account (%) -> your 'realised_gross_margin_pct' column
- Annual cost to support them -> not in your file; not used

Appendix: the last steps of the run

Every line was produced while the model ran. Re-running with the same seed replays it exactly.

Time	Stage	What happened
0.00s	prepare	Annual cost to support them -> not in your file; not used
0.70s	prepare	Read 40,000 records into the model.
0.70s	simulate	Running the simulation…
0.70s	read	Reading the account book...
0.84s	validate	We could not see an obvious 'Us' in your supplier column, so we assumed 'Competitor A' is you.
0.84s	prepare	Built the market from 40,000 accounts from your file.
0.84s	prepare	Three suppliers are in the room: you, Competitor A and Competitor B.
3.31s	simulate	Running the war room... 10% of the worlds simulated
5.67s	simulate	Running the war room... 20% of the worlds simulated
8.02s	simulate	Running the war room... 30% of the worlds simulated
8.90s	simulate	Match every cut: 100 versions played out.
10.95s	simulate	Running the war room... 40% of the worlds simulated
13.96s	simulate	Running the war room... 50% of the worlds simulated
16.41s	simulate	Running the war room... 60% of the worlds simulated
18.24s	simulate	Defensible niche: 100 versions played out.
19.05s	simulate	Running the war room... 70% of the worlds simulated
21.26s	simulate	Running the war room... 80% of the worlds simulated
23.64s	simulate	Running the war room... 90% of the worlds simulated
25.89s	simulate	Running the war room... 100% of the worlds simulated
25.96s	simulate	Running the war room... 100% of the worlds simulated
26.01s	simulate	Hold the line: 100 versions played out.
26.01s	summarize	Scoring the three strategies against each other...
26.01s	simulate	Testing how far the rival's undercut can move before the answer changes...
52.28s	summarize	Not found between 0% and 40% - the recommendation does not change anywhere in that range.
52.29s	summarize	Done. Defensible niche scores best on profit: $12,283.99M over 8 quarters.